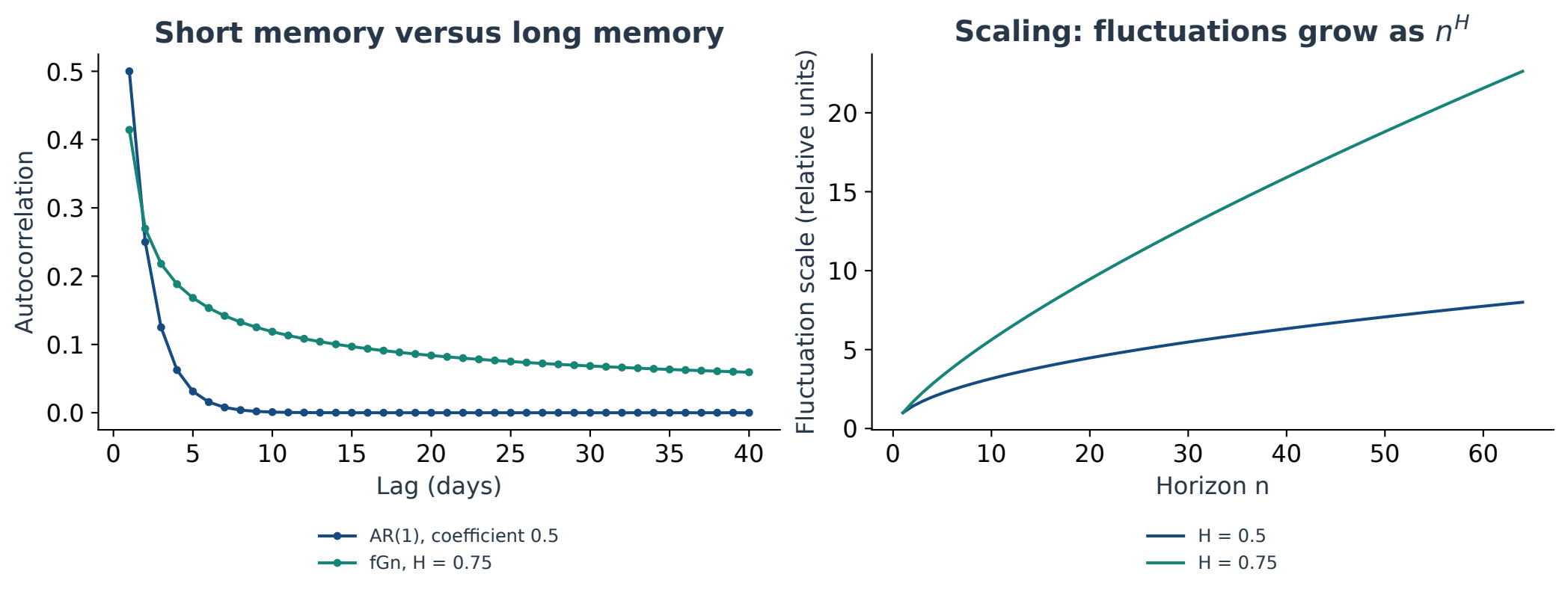
Short memory versus long memory
Autocorrelation
0.5
0.4
0.3
0.2
0.1
0.0
0
5
10
15
20
25
30
35
40
Lag (days)
AR(1), coefficient 0.5
fGn, H = 0.75
Scaling: fluctuations grow as n^H
Fluctuation scale (relative units)
0
5
10
15
20
0
10
20
30
40
50
60
Horizon n
H = 0.5
H = 0.75